

out what your emotions are when you are doing well and not doing well.

- Buffett said, “Time is the enemy of the poor business and the friend of the great business.”
- One of the reasons why looking at return on capital is important is that it keeps you out of the value traps.
- When Rich Pzena was here he talked about Computer Associates. He told the story about how he called up their top 12 customers. They all said that they hated the company. They hated the product; they hated the service; they hated everything about it. He then asked them if their top competitor offered their software and services for free, would they switch? All 12 said something to the effect, “Are you crazy? We can’t switch. We can’t close our business for a few days to switch to a competitor.” That is an example of a sticky type of business.



Greenblatt provides three critical lessons about value investing:

1. Value investing works.
2. Value investing doesn’t work all the time.
3. Item 2 is one of the reasons why Item 1 is true.

Investing in good businesses that are priced cheap—Greenblatt’s approach modeled after Buffett—will outperform the market over the longer term. This value edge does not go away because the periods of underperformance using a value approach can be long enough (a few years) and severe enough to discourage investors from sticking with the approach. Although many managers may realize the merit of value investing, they too will have trouble using such an approach because of the shortening of investor time horizons in tolerating subpar performance. The fact that institutions have become increasingly likely to redeem investments from managers who turn in below-average performance for periods as short as one year, let alone two years, means that managers who stick to a value approach risk losing substantial assets at some point. The inability of so many investors and managers to invest with a long-term horizon creates the opportunity for *time arbitrage*—an edge in an investing approach that requires the commitment to long-term holding periods.